

Chapter #13

- Goals:
- increasing market share
 - Revenue
 - Acquiring assets
 - improving the organization
 - products & services

Strategies for Growth & Managing the implications of growth

Growth strategy is a type of corporate strategy

Q. Explain different types of growth strategies?

⇒ Growth strategies can lead to competitive advantages because they capitalize on some aspect of the entrepreneur's & firm's knowledge base.

⇒ Growth strategies are approaches that business uses to expand their market share & enhance overall business success ^{as product of fixed} _{through its current business or new business}

1. Penetration Strategies:

⇒ Growth by selling more of existing product to existing customers.

Goal:

Get existing customers to buy more of the current products.

a pizza company encourages its existing customers of university students to eat pizza three nights rather than only twice a week.

How? ⇒ Use marketing to encourage frequent purchases.

Benefits:

⇒ Increases market share without creating new products or entering new markets.

2. Market development strategies

Goal:

⇒ Sell existing products to new groups of customers.

How?

(i) New geographic market:

sell in new location.

e.g. if a product has been successful in one region, it can be marketed in another region.

(ii) New demographic market: Target different customer segments. Identify and target new customers.

~~new product~~ *e.g. a product initially marketed to young adults could also appeal to older adults with slight modifications.*

(iii) New product use:
⇒ Discover and promote new uses for existing products.
e.g.

a cleaning product initially marketed for kitchens might also be effective for cleaning outdoor furniture.

3. Product development strategies

Goal:

⇒ Sell new products to customers who already buy from your current products.

⇒ Experience with a particular group of customers is a source of knowledge on the problems customers have with existing technology and ways in which customers can be better served.

⇒ This knowledge is important resource in coming up with new products.
How?

- Introduced upgraded version of existing products.

Pros: chance to capitalize on existing distribution system.

Cons: feedback from customers
◦ Product innovation.

4. Diversification strategies

Goal: Sell a new product to new market.

Types:

(i) Backward integration:

⇒ Start supplying your own raw materials.

e.g. a bakery might start milling its own flour.

(ii) Forward integration:

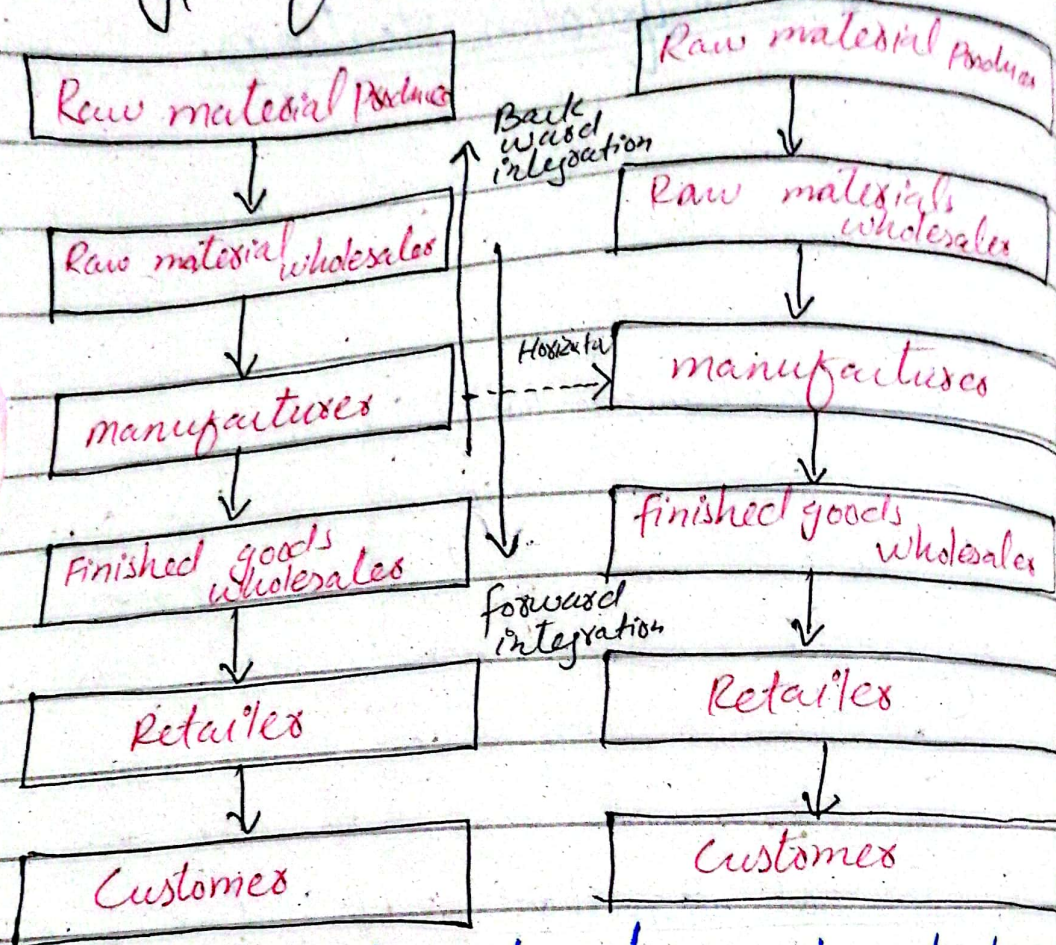
Begin selling your own finished products. Take control of distribution channels by selling directly to consumers.

(iii) Horizontal integration:

offer different but related products. Add new, related product lines.

e.g. A company making washing machines could also produce detergents.

Example of a value added chain & types of related diversification:



Growth Strategies based upon knowledge of Product & market:

Existing Market	Penetration Strategies	Product development strategies
	market development strategies	Diversification strategies
New		
	Existing Product	New

Q. Discuss the implications of growth for the firm?

⇒ Because growth makes a firm bigger.

Higher volume increases production efficiency, makes the firm more attractive for suppliers.

⇒ Size also enhances the legitimacy of the firm.

⇒ Growing of business can provide the entrepreneurs more power to influence firm performance.

⇒ For introducing changes some of the challenges arise due to the following reasons.

1. financial pressure

Cash needs:

⇒ Growth requires substantial financial investment, whether for marketing, product development, or expanding operations.

Risk:

Limited financial resources can make company vulnerable to financial instability.

⇒ Growth has large appetite for cash.

2. Human resources pressure

Employee strain:

Existing employees may become overworked as the company grows, leading to stress and decreased the productivity.

Culture impact:

Rapid hiring can dilute the company culture if new employees are not well integrated.

⇒ Growth is also fueled by the work of employees.

if employees are spread too thin, then firm will face problem of

employee morale, employee burnout, and increase in employee turnover.

3. Management pressure

⇒ many entrepreneurs find that as the venture grows, they need to change their management style and change the way deal with employees.
⇒ management decision making that is the exclusive domain for the entrepreneur can be dangerous for the success of growing venture.

4. Entrepreneur's time pressure

⇒ Entrepreneurs often find that growth consumes a significant amount of their time, potentially diverting attention from strategic planning & other important activities.

⇒ Time is unique quantity. most precious but yet limited resource for entrepreneurs.

⇒ The entrepreneur cannot store it, sell it, hire it, or buy it.

Overcoming Pressure

1. financial control:

Cash flow: keep a close watch on cash inflows and outflows.

Inventory management: Efficient manage to avoid excess stock and stockouts.

Fixed assets: maintain and manage fixed assets to avoid unexpected cost.

Record keeping

Cost & profit management

Taxes.

2. Human resource control:

HR support: Use external HR services if needed.

Workforce management: Determine which roles need permanent staff and which can be part-time or contract.

Performance management
Culture maintenance

3. management of employees:

Involvement / participative style of management: one in which entrepreneurs involves others in decision making process.

Establish a team spirit:

Build a collaborative environment where everyone feels a part of the team and by working together great things can be achieved.

Communicate with employees:

⇒ maintain open communication channels to build trust and reduce fears.

⇒ Open and frequent communication is a two-way street.

Provide feedback: entrepreneurs should frequently provide feedback to the employees. Feedback needs to be constructive. Entrepreneurs may get from others.

Delegating some responsibilities to others.
⇒ With an increasing number of tasks for the entrepreneur, he is not able to make every management decision.

⇒ Key employees must given the competency to take the initiative and make decision without the fear of failure.

Provide continuous training for employees.

⇒ By training employees, the entrepreneur increase employees ability and capacity to improve their own performance in particular tasks, improve the chance of successfully growing the firm.

4. Entrepreneur's Time management

Process of improving individuals productivity through more efficient use of time.

Principle of Adjust personal habits & desire: ^{attitude towards time management}
Principle of effectiveness: Concentrate on most imp tasks.

Principle of analysis: Identify and eliminate time-wasting activities. Identify how time is currently being allocated, and where it is being inefficiently invested.

Principle of teamwork:

Use time with others to build concepts and foster collaboration.

Principle of prioritized planning:

Categorization of tasks by their degree of importance and then the allocation of time to tasks based on categorization.

Principle of reanalysis:

Periodic review of one's time management process.

Categorization of entrepreneurs by their firm's growth:

⇒ Entrepreneurs categorize in terms of two dimensions:

First dimension:

An entrepreneur's abilities to successfully make the transition to more professional practices.

Second dimension:

Represent an entrepreneur's growth aspirations.

⇒ Depending on the entrepreneur's position along these two dimensions, four types of firm growth outcomes are identified.

Actual growth of the firm:

- These are the entrepreneurs who are the most likely to achieve firm growth.

- Entrepreneurs in the upper left quadrant.

Unused potential for growth:

Entrepreneurs in the upper left quadrant possess:

These are the entrepreneurs of firms that have unused potential.

Constrained growth:

Entrepreneurs in the lower-right quadrant

These entrepreneurs are frustrated by the firm lack of growth and are in most danger of the failure.

Little potential for firm growth:

⇒ Entrepreneurs in the lower left quadrant

⇒ Limited ability of the entrepreneurs to manage growth.

	Unused Potential	Actual Growth	Entrepreneur's ability to institute professional managerial practices
High			
Low	Little Potential	Constrained	

No growth aspirations